

The Real Cost of Manual AR Follow-Up

A simple framework for calculating what manual collections is actually costing your business.

■ Step 1: Calculate the Labor Cost

- **Hours per week:** How many hours does your AR team spend pulling aging reports, drafting reminders, and re-sending invoices?
- **Fully loaded hourly rate:** Include salary, benefits, and overhead — not just base pay.
- **Weekly cost:** Multiply hours by rate. Most companies find this higher than expected once calculated directly.

■ Step 2: Calculate the DSO Cost

- **Current DSO:** What's your actual Days Sales Outstanding today?
- **Target DSO:** What would it be if follow-up never lapsed, even once?
- **Cash flow impact:** Every day of DSO reduction frees up working capital equal to (annual revenue / 365).

■ Step 3: Calculate the Error Cost

- **"Resend the invoice" replies:** How often does a customer reply asking for a document that should have been attached the first time?
- **Time lost per incident:** Each reply-and-resend cycle adds days to that payment, compounding across every account.

■ What Automation Actually Changes

- Continuous monitoring of Customer Ledger Entries, not a manual report pulled when someone remembers to.
- Every statement automatically includes the original invoice, eliminating the top reason payments stall.
- Your AR team's time shifts from routine follow-up to handling genuine exceptions only.

RAP deploys quickly alongside Business Central, starting at \$400/month.

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